subject to a marginal 39.6% Federal income tax. He paid a 23.8% tax rate on long-term capital gains (20% capital gains rate plus a Medicare surtax of 3.8%). So the take-home returns on these investments at the margin were forecast to be:[1]

	Tax Treatment	**Post-Tax Expected Return**
Private Equity Fund	Long-Term Capital Gains Tax 23.8%	7.62%
Tactical Trading Hedge Fund	Short-Term Capital Gains Tax 39.6%	7.25%
Corporate Bond	Income Tax 39.6%	4.23%
Municipal Bond	Tax-Exempt 0%	5.00%

Taxes had a major effect! The tactical trading hedge fund looked marvelous at first, with a pre-tax expected return of 12%. But it generated a lot of short-term capital gains, which are taxed as regular income; on an after-tax basis, the private equity fund and tactical trading fund had similar returns. The municipal bond looked terrible from a pre-tax perspective, offering only a 5% yield. But it beat the corporate bond after tax because municipal bonds are tax exempt.

Now suppose Duncan has a choice of holding these assets in his retirement accounts, which defer taxes, as well as in his personal accounts, which are subject to the usual income and capital gains levies. If the assets were in a retirement account, Duncan could rightly focus only on pre-tax returns. The tactical trading hedge fund would dominate, and he would prefer corporate bonds over municipal bonds. But if Duncan could only put his money in a taxable account, the private equity fund looks more attractive and municipal bonds dominate corporate bonds. (Again, all of this discussion ignores risk.) Duncan, however, can allocate to either his retirement account or his taxable account, or both. He thus faced both an *asset allocation decision* (how much of each type of asset to hold) as well as an *asset location decision* (in which account—taxable or tax deferred—to hold these assets).

Taxes are a first-order issue in asset management. There are a lucky few for whom taxes do not matter or are a second-order consideration. Pension funds, for example, are tax-exempt. Tax considerations are usually secondary for sovereign wealth funds, which typically pay some taxes, but not much, depending on the nature of bilateral taxation agreements. But for other investors, taxes are front and center.

[1] This example ignores state income taxes. I live in New York City and have the privilege of paying New York State tax and New York City tax. Both jurisdictions tax long-term capital gains as ordinary income. On the other hand, Duncan could live in Texas and not worry about state income tax.